



File No.: EXP202105363

RESOLUTION OF RECOURSE FOR RECONSIDERATION

Examined the recourse for reconsideration filed by CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U. (hereinafter, the appellant) against the resolution issued by the Director of the Spanish Agency for Data Protection dated 13/11/2023, and based on the following

FACTS

FIRST: On 13/11/2023, a resolution was issued by the Director of the Spanish Agency for Data Protection in file EXP202105363, by virtue of which a sanction of 70,000 euros (seventy thousand euros) was imposed on CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U., for (...) infringement of Article 6.1 of the GDPR, classified under Article 83.5.a) of the GDPR.

This resolution, which was notified to the appellant on 14/11/2023, was issued following the processing of the corresponding sanctioning procedure, in accordance with the provisions of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the Guarantee of Digital Rights (LOPDGDD), and subsidiarily under Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), regarding the processing of sanctioning procedures.

SECOND: As proven facts of the aforementioned sanctioning procedure, PS/00603/2022, the following is recorded:

FIRST. On 24/11/2021, a letter from the complainant was received by the AEPD, expressing their surprise when, upon applying for a loan, it was denied because their personal data appeared in common credit information systems Asnef and Badexcug, at the request of the respondent, as a result of a debt related to an Ikea credit card linked to the respondent entity.

SECOND. A copy of the complainant's ID is provided.

THIRD. A request-contract for Ikea credit No. ***NUMBER.1, dated 13/01/2020, signed through the establishment Ikea Iberica, S.A., ***ADDRESS.1, is provided; the complainant's personal data is included: name and surname, address, ID number, date of birth, sex, marital status; professional data is also included. The signature that appears does not match that of the complainant.

FOURTH. A complaint filed by the complainant before the Command of the Civil Guard in Pinto (Madrid) is recorded, which expands upon the complaint made in Puente de Vallecas before the National Police Station motivated by the claimed facts, in which the respondent also states that the Ikea card contract, the mobile number, the email address, the address, the bank account number, the name of the company, and the signature that appears in the aforementioned contract do not correspond to them.

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28001 – Madrid

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2/31

FIFTH. It is recorded that the respondent provided "details of the file that was sent to ASNEF on June 29, 2020," stating that "The following day, it was effectively registered with ASNEF; therefore, the registration was made on June 30, 2020. The claimant's data was included in the weekly files sent to ASNEF until August 8, 2020."

SIXTH. Copies of the payment demands dated June 13, 2020, and June 21, 2020, which were sent to the claimant by the respondent regarding the existing debt, are recorded as a prior step to the inclusion of her personal data in the ASNEF file.

SEVENTH. The respondent, in a letter dated December 31, 2021, stated that "Therefore, as previously mentioned, CaixaBank Payments & Consumer, as soon as it became aware of an alleged fraud/falsification in the contracting, proceeded to delete/block the personal data of the interested party, also proceeding to immediately deregister her from the credit information systems."

However, the respondent, in a letter dated June 14, 2022, indicated that "The previous statement was incorrect as the data of the affected and claimant, regarding the credit contract with the Ikea Visa card

previously mentioned, had been deregistered from the credit information systems on August 11, 2021, as a consequence of the aforementioned sales and assignment of credits contract dated July 29, 2021."

EIGHTH. It is recorded that CaixaBank Payments & Consumer and the company InvestCapital Ltd. (assignee) formalized a contract elevating it to a public deed granted before the notary of Madrid, Mr. A.A.A., on September 16, 2021, for the assignment of certain credits, including the debt arising from the credit contract with the Ikea Visa card dated January 13, 2020.

NINTH. On February 8, 2022, the claimant sent an email to the Customer Service of CPC, subject: identity theft, stating: "I am contacting you because a few months ago I had a problem regarding your identity due to a debt you were claiming in my name, which is a demonstrable case of identity theft. Someone applied for an IKEA credit card using my name and ID number, the application contract number is ***NUMBER.1, with that card money was withdrawn, and I was claimed for that debt. After this incident, I filed a report for identity theft and a complaint to the AEPD. After several procedures, my name was eventually removed from the Equifax list of defaulters. To this day, another debt collection company has tried to contact me, claiming payment for a card that I reiterate, I did not apply for and was acquired in my name and ID. This company is called KRUK ESPAÑA S.L.U and it is not only that they are asking me for a payment that does not correspond to me, but they are also harassing people around me to request my data when that is not permitted. The reference number is (...).

Please, I request that my identity be removed from KRUK ESPAÑA so that they stop claiming a debt that does not correspond to me, and if my identity is held by any other collection company, I also request that it be removed, as this matter is causing me significant personal and professional harm. I am attaching the report and the complaint made at the time."

On February 10, 2022, the claimant sent an email to the Customer Service of the respondent, subject: [EXTERNAL] REQUEST FOR DEBT PROOF (URGENT), indicating:

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3/31

"Due to previous issues of identity theft related to the request for a credit card without my consent or permission, Caixabank Payment&Consumer; claimed a debt from me that has now been resolved and eliminated. Therefore, I would like to have a written statement from Caixabank Payment&Consumer; confirming that I, B.B.B. with DNI ***NIF.1, have no outstanding or pending debts with you.

Attached below is my DNI."

This prompted a series of emails exchanged from the account:

***EMAIL.1

to ***EMAIL.2

Subject: REQUEST FOR DEBT PROOF (URGENT): Re: RV: [EXTERNAL] IDENTITY THEFT

In the penultimate email dated 05/17/2022, the following is stated:

(...)

"Please, we need to respond to the claim that was communicated to you a few days ago by the Portfolio Sales mailbox.

Could you indicate whether you have taken any action regarding this case so that we can coordinate?

We would need a response between today and tomorrow to be able to reply on time."

(...)"

And on that same date, the response email is recorded:

From: ***EMAIL.3

Sent: Tuesday, May 17, 2022 12:11

To: (...)

CC: (...)

Subject: RE: [External Mail] RE: Rv: REQUEST FOR DEBT PROOF (URGENT): Re: RV:

[EXTERNAL] IDENTITY THEFT

"(...)

As I conveyed to you this morning, the actions that have taken place regarding the case (...), Ms. B.B.B., are as follows:

- On February 3 and 8, 2022, the client contacted us via email requesting to be removed from the delinquency file and informed us that the present debt is due to identity theft and that she has filed a complaint with the police and the AEPD. On those dates, we proceeded to respond by requesting that she send us the fraud report to be able to halt the collection actions.
- On March 16, 2022, you provided us with the client's email in which she requests documentation and information regarding the case, attaching the fraud report. We responded to the client on 09/03/2022 with that information and documentation of the case and indicated that the collection actions are halted, pending the court ruling that confirms that she has suffered fraud.
- Therefore, as of today, the case is on hold due to presumed fraud, awaiting a ruling.
- Finally, on April 28, 2022, we received a burofax with a claim from the AEPD, which we have notified to our DPO to handle.

(...)"

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4/31

TENTH. It is noted that the graphological image of the signature of the applicant for the Ikea card does not match the signature of the claimant.

ELEVENTH. Ikea, in a letter dated 07/01/2021, stated that "...the functions of IKEA and the staff of IKEA are limited to fulfilling the role of assistant to 'CAIXABANK P&C;' for the administrative processing of the documentation related to financing applications."

(...)

For these purposes, and as can be verified in the documentation in the file, specifically in the referred credit application-contract, the entity responsible for the contracting of the credit and, where applicable, the entity responsible for the processing of the personal data of the customers requesting financing is CAIXABANK P&C.;

In this regard, we must point out that there is a Framework Collaboration Agreement between CAIXABANK and IKEA dated December 16, 2020, whereby:

IKEA will process the personal data to which it has access as Data Processor only in accordance with the instructions of CAIXABANK PAYMENTS & CONSUMER. These instructions include the following tasks:

- Assistance in the administrative processing of the documentation related to financing applications and the subscription of an insurance offered by CAIXABANK PAYMENTS & CONSUMER consisting of:
- The delivery of the pre-contractual information required by consumer credit regulations
- The management of the necessary paper documentation for the formalization of the financing application and its digitization for sending to the Data Controller through its equipment."

(...)

TWELFTH. CGI, in relation to the matter CERTIFICATE OF SENDING CPC, stated in a letter dated 01/03/2023:

That the letter dated 21/06/2020, a copy of which is attached, was generated with the information provided by the respondent ..., for its printing (File: (...); Envelope: XXXX) and subsequent provision to the postal distributor responsible for its sending to the address:

***ADDRESS.2

Once the established process was carried out and from the provision at CORREOS, it is noted that there has been no incident and also no return of said letter to date."

THIRTEENTH. In the respondent's computer systems, the claimant's data is registered: name and surname, address, ID number, mobile number, email address, bank account number, date of birth, seniority in the company, monthly income (listed without a payslip), etc.

FOURTEENTH. In relation to the account provided by the contractor ING BANK NV BRANCH IN

SPAIN in a letter dated 23/07/2023, it has been stated that “The account ***ACCOUNT.1 was contracted by phone by Ms. C.C.C. on September 6, 2018. ING sent a messenger to her postal address to verify the identity of the account holder and to deliver the ‘Welcome Pack’ that contained the Specific Conditions for contracting the mentioned Payroll account, as evidenced in the following screenshot (...) The ratification of the contracting was received by ING on September 20, 2018. The Specific Conditions for contracting the Payroll Account and the delivery note are attached...”

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5/31

FIFTEENTH. In relation to the address provided by the contracting party, the City Council of Madrid, Cartography Department, Street Technical Unit, in a letter dated 07/08/2023, has indicated that “Currently, there is no street in the municipal street directory of the city of Madrid with the name Calle (...) and therefore there is also no number 75 of this street.”

SIXTEENTH. The respondent in a letter dated 14/03/2023 has confirmed the impersonation of the claimant stating that “only the use of a system created with the intent to defraud the Entity prevented it from detecting the forgery of the documentation submitted by the credit applicant, who, in this case, impersonated the identity of the current claimant, causing the events that led to the claim presented by her before that Agency and the initiation of the present proceedings.”

THIRD: The appealing party submitted on 14/12/2023, to this Spanish Agency for Data Protection, a request for reconsideration, fundamentally basing it on the allegations made during the procedure and, additionally, their disagreement with the resolution issued since the debt that was entered into the file was certain, overdue, and enforceable due to non-payment, having been requested for payment; that when the debt was assigned, there was no knowledge of the fraudulent use of the claimant's data by a third party and that responsibility for the impersonation of identity cannot be placed on the respondent; violation of the principle of non bis in idem and the absence of culpability of the respondent.

LEGAL GROUNDS

I

The Director of the Spanish Agency for Data Protection is competent to resolve this appeal, in accordance with the provisions of Article 123 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP) and Article 48.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter, LOPDGDD).

II

In relation to the statements made by the appealing party, reiterating basically the allegations already presented throughout the sanctioning procedure, it should be noted that all of them have already been analyzed and dismissed in Legal Grounds II to VII of the contested Resolution, as transcribed below:

“II

The reported facts materialize in the inclusion of the personal data of the claimant in common credit information systems at the request of the respondent, concerning a debt related to the application for an IKEA credit card linked to the respondent, which the claimant states she did not subscribe to, as well as the assignment of the debt to the company InvestCapital Ltd., which in turn included the data in delinquency files.

The GDPR in its Article 5 establishes the principles that must govern the processing of personal data, and in its paragraph 1 states that:

“1. Personal data shall be:

a) processed lawfully, fairly, and transparently in relation to the data subject (<>).

(...)”

And in its paragraph 2, it establishes that:

“2. The data controller shall be responsible for compliance with the provisions of paragraph 1 and shall be able to demonstrate it (<>).”

On the other hand, Article 6, Lawfulness of processing, of the GDPR in its paragraph 1, establishes

that:

“1. Processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) processing is necessary in order to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular where the data subject is a child.

The provision in letter f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.”

On the other hand, Article 4 of the GDPR, Definitions, in its paragraphs 1, 2, and 11, states that:

“1) ‘personal data’: any information relating to an identified or identifiable natural person (‘the data subject’); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.”

7/31

physical, physiological, genetic, psychological, economic, cultural, or social identity of that person;

“2) ‘treatment’: any operation or set of operations performed on personal data or sets of personal data, whether by automated or non-automated procedures, such as collection, recording, organization, structuring, storage, adaptation or modification, extraction, consultation, use, communication by transmission, dissemination, or any other form of enabling access, comparison or interconnection, limitation, erasure, or destruction;

“11) ‘consent of the data subject’: any manifestation of free, specific, informed, and unequivocal will by which the data subject accepts, either by means of a statement or a clear affirmative action, the processing of personal data concerning them.”

And Article 20 of the LOPDGDD, Credit Information Systems, establishes that:

“1. Unless proven otherwise, the processing of personal data related to the non-fulfillment of monetary, financial, or credit obligations by common credit information systems shall be presumed lawful when the following requirements are met:

- a) That the data has been provided by the creditor or by someone acting on their behalf or interest.
- b) That the data refers to certain, overdue, and enforceable debts, the existence or amount of which has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties.

c) That the creditor has informed the affected party in the contract or at the time of requesting payment about the possibility of inclusion in such systems, indicating those in which they participate.

The entity maintaining the credit information system with data related to the non-fulfillment of monetary, financial, or credit obligations must notify the affected party of the inclusion of such data and inform them about the possibility of exercising the rights established in Articles 15 to 22 of Regulation (EU) 2016/679 within thirty days following the notification of the debt to the system, with the data remaining blocked during that period.

d) That the data is only maintained in the system while the non-fulfillment persists, with a maximum limit of five years from the date of maturity of the monetary, financial, or credit obligation.

e) That data related to a specific debtor may only be consulted when the entity consulting the system has a contractual relationship with the affected party that involves the payment of a monetary amount or the affected party has requested the conclusion of a contract that implies financing, deferred

payment, or periodic billing, as occurs, among other cases, in those provided for in the legislation on consumer credit contracts and real estate credit contracts.

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8/31

When the right to limit the processing of data has been exercised before the system by contesting its accuracy in accordance with Article 18.1.a) of Regulation (EU) 2016/679, the system will inform those who may consult it according to the previous paragraph about the mere existence of such circumstance, without providing the specific data regarding which the right has been exercised, while the request from the affected party is being resolved.

f) That, in the event that the request to conclude the contract is denied, or it does not come to fruition as a result of the consultation made, the entity that consulted the system must inform the affected party of the result of that consultation.

2. The entities that maintain the system and the creditors, regarding the processing of data related to their debtors, shall be considered joint controllers of the data processing, being subject to the provisions established by Article 26 of Regulation (EU) 2016/679.

It shall be the responsibility of the creditor to ensure that the requirements for inclusion of the debt in the system are met, being liable for its non-existence or inaccuracy.

3. The presumption referred to in paragraph 1 of this article does not cover cases where credit information is associated by the entity maintaining the system with additional information not contemplated in that paragraph, related to the debtor and obtained from other sources, in order to carry out profiling of the debtor, particularly through the application of credit scoring techniques.”

III

Article 58 of the GDPR, Powers, states:

“2. Each supervisory authority shall have all of the following corrective powers indicated below:

(...)

d) order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, when appropriate, in a specific manner and within a specified period;

(...)

i) impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case;

(...)”

IV

The infringement attributed to the respondent is classified in Article 83.5 a) of the GDPR, which considers the infringement of “the basic principles for processing, including the conditions for consent in accordance with the...

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28001 – Madrid
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9/31

Articles 5, 6, 7, and 9” is subject to penalties, in accordance with paragraph 5 of the aforementioned Article 83 of the cited Regulation, “with administrative fines of up to €20,000,000 or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infractions, states that: “Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679 constitute infractions, as well as those that are contrary to this organic law.”

And in its Article 72, it considers for the purposes of prescription that: “Infractions considered very serious:

1. According to what is established in Article 83.5 of Regulation (EU) 2016/679, the infractions that constitute a substantial violation of the articles mentioned therein are considered very serious and will prescribe after three years, particularly the following:

(...)

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679 being met.

(...)

V

1. It should be noted that the processing of data requires the existence of a legal basis that legitimizes it.

In accordance with Article 6.1 of the GDPR, in addition to consent, there are other possible bases that legitimize the processing of data without the need for the authorization of its holder, in particular, when it is necessary for the execution of a contract in which the affected party is a party or for the application, at their request, of pre-contractual measures, or when it is necessary for the satisfaction of legitimate interests pursued by the data controller or by a third party, provided that such interests do not prevail over the interests or the fundamental rights and freedoms of the affected party that require the protection of such data. The processing is also considered lawful when it is necessary for compliance with a legal obligation applicable to the data controller, to protect vital interests of the affected party or of another natural person, or for the performance of a task carried out in the public interest or in the exercise of public powers conferred on the data controller.

In the present case, the respondent is accused of violating Article 6.1 of the GDPR as the unlawfulness of the processing carried out is evidenced, with none of the bases for legitimization provided in the aforementioned article being accredited in relation to the processing of the claimant's data.

2. The respondent carried out the processing of the claimant's data without any legitimization as the guarantees provided in Article 20 have not been respected.

C/ Jorge Juan, 6

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28001 – Madrid

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10/31

the LOPDGDD, given that the debt was not certain, due, or enforceable, a debt that did not correspond to the claimant as it stemmed from fraudulent contracting.

The Opinion 757/2017 of the Council of State, issued in the file relating to the draft Organic Law on the Protection of Personal Data, provides regarding the legality of a weighting of legitimate interest made in a normative text the following:

"Without prejudice to what has just been observed, given the undeniable convenience of guaranteeing the maximum degree of legal security possible by offering operators certain guidelines in their actions, without prejudice to respecting the direct applicability of the European Regulation and, in any case, with the aim of ensuring its useful effect, the Council of State wishes to point out, as an alternative solution, the possibility of introducing by legislative means, in specific cases, simple presumptions *iuris tantum* favorable to the prevalence of the legitimate interest of the data controller when certain requirements or conditions are met.

This solution could be in accordance with the flexibility in the weighting of interests and the principle of proactive responsibility of the data controller that, as indicated, is pursued by the new community regulation. Likewise, the provision of simple presumptions unless proven otherwise would fit within the analyzed jurisprudence, which prohibits establishing in a national norm the result of the aforementioned weighting "definitively (...), without allowing a different result," an obstacle that the alternative solution proposed here would, in principle, allow to avoid."

Following this provision, the LOPDGDD introduces a presumption "*iuris tantum*" of the prevalence of the legitimate interest of the data controller in certain specific cases, including those related to the processing of data in credit information systems. Thus, when the guarantees provided in Article 20 of the LOPDGDD are observed, the processing may be presumed lawful under Article 6.1.f) of the GDPR, without prejudice to the fact that the legitimacy must be assessed on a case-by-case basis and

without prejudice to the fact that the controller may carry out the legally required weighting when the aforementioned guarantees are not met, as clarified by the preamble of the law stating:

“In Title IV, ‘Applicable Provisions for Specific Treatments’ are included, incorporating a series of cases that should in no case be considered exhaustive of all lawful treatments. Among them, it is worth noting, first of all, those for which the legislator establishes a presumption ‘iuris tantum’ of the prevalence of the legitimate interest of the controller when carried out with a series of requirements, which does not exclude the lawfulness of such treatments when the conditions set forth in the text are not strictly met, although in this case the controller must carry out the legally required weighting, as the prevalence of their legitimate interest is not presumed.”

Among the aforementioned guarantees, Article 20 of the LOPDGDD includes the one consisting of “the data referring to certain, due, and enforceable debts, whose existence or amount has not been subject to administrative or judicial claim by the debtor or through a binding alternative dispute resolution procedure between the parties” (Article 20.1.b) GDPR).

C/ Jorge Juan, 6

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28001 – Madrid

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11/31

And as has been stated, in this case, the debt did not correspond to the claimant, therefore it was neither certain, nor due, nor enforceable as it was nonexistent, which means that the presumption of legality provided for in the aforementioned Article 20 cannot be applied, and the responding party must carry out its own assessment as the legally established assessment is not applicable. However, in this case, there is no record that the responding party has carried out such an assessment and consequently that its legitimate interests prevail over the interests, rights, and freedoms of the claimant.

Thus, in this case, on the date of 16/12/2020, the respondent and IKEA formalized a Collaboration Agreement under which “IKEA will process the personal data to which it has access as Data Processor solely in accordance with the instructions of the respondent.”

On IKEA's website, the documentation necessary to apply for the IKEA Visa card is listed: identification document, an original bank receipt with the name of the holder, account number for direct debit, and the original of proof of income.

The party responsible for the credit contracting and the processing of personal data of customers requesting financing is the respondent; in the procedure established for formalizing a credit contract to obtain the IKEA card, the IKEA employee/seller uses an application installed on a digital tablet that is connected to the respondent's computer systems; in this way, the obtained data is sent immediately to the respondent's computer systems for verification, analysis, and processing before said company, with IKEA not retaining any documentation regarding this nor any personal data in compliance with the signed agreement.

Well, the signature that appears on the ID card and the one that is on the submitted contract do not match; furthermore, the respondent has a series of socioeconomic data that it is not recorded as having been provided during the contracting; as is stated in the report of actions “The respondent has not provided documentation that verifies the previous socioeconomic information that is recorded in its systems.” Among that documentation is the account number to which the payments were debited; according to the FAQs (Frequently Asked Questions) of financing:

What requirements are there to apply for my Card?

You only need to present:

- An identification document such as the ID card or passport
- An original bank receipt with your name and account number for direct debit.
- Original proof of income:
 - Last payslip
 - Self-employed, managers, and administrators: last income tax return or quarter
 - Pensioners: pension revaluation sheet

If you are a CaixaBank customer, you only need your ID/NIE and your credit or debit card to process

your application.

However, the documentation that the applicant must provide is neither listed nor recorded by the respondent, that is, it was not provided as it should not be forgotten that the

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12/31

The claimant was not the holder of the bank account as stated in the proven facts.

The seller at Ikea, having the applicant physically present in the commercial establishment, must proceed to identify the customer through their identity document.

Subsequently, having the customer in front of them, they take a photograph of their identity document with the digital tablet and request additional personal data, socioeconomic data (employment situation, monthly income, bonuses, position, profession, company, etc.) and enter the information into the system.

Finally, the application has a signature process through the digital tablet, and the obtained data is immediately sent to the computer systems of the defendant for verification, analysis, and processing before said company.

Well, as the claimant states both in the complaint before the AEPD and in their report to the Command of the Civil Guard in Pinto (Madrid), which expands upon the one made in Puente de Vallecas before the National Police Commissioner, they were never at the aforementioned shopping center, and therefore could never have signed the Ikea card contract or provided the data contained therein; indeed, the mobile number, email address, home address, bank account number, company, and signature that appear in the mentioned contract do not correspond to them.

From the above, the negligent action of the defendant is inferred, as they did not carry out the necessary verifications nor check that the documentation required for the contract had been sent by the IKEA establishment.

Regarding the account number provided, ING BANK NV BRANCH IN SPAIN, in a letter dated 23/07/2023, has indicated that the mentioned account was contracted by telephone by a person who is not the claimant on 06/09/2018.

And regarding the signature affixed to the contract, it does not correspond to the claimant's signature.

In this regard, the Supreme Court in its ruling of 13/12/2021, no. 1,456/2021, concerning the contracting of a microcredit and the diligence exercised, stated in its Second Ground: "Regarding the first issue (lack of diligence in the action) in the appeal for cassation, the allegations made by the then plaintiff in the instance process are reiterated, in the sense that Dineo Crédito, S.L. adopted all necessary and appropriate measures, from the perspective of personal data protection, to process the microcredit application (registration on the platform; validation of the ID: with double factor verification of 2 algorithms that guarantee both the veracity of the number and the letter of the document as well as that the applicant has the ID in their possession, either original or copy; validation of the mobile phone number through a PIN code, validation of banking data, and validation of the credit/debit card provided by the applicant); and despite the adoption of such measures, identity theft, fraud, and/or misuse of a genuine document could have been committed.

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13/31

Well, we have seen that the fourth legal basis of the first-instance judgment adequately addresses such allegations. The National Court indicates there that the sanctioning resolution analyzes in detail the identity verification mechanism established by Dineo Crédito, S.L. for the credit applicant, and its insufficiency is evident. Thus, with the so-called "registration on the platform," a procedure in which certain data (including the D.N.I. number, two phone numbers, and the email address) is collected from the client, it is only demonstrated that from that moment there is a processing of personal data,

but it is ignored whether the data provided by the client and collected by Dineo belongs to the person providing it as their own or to a third party. Regarding the phase that the appellant refers to as "DNI validation" (an algorithm that allows determining whether the DNI provided by the client corresponds to a real or valid DNI), such a measure only demonstrates that it is a document number that exists and that "someone" is the holder of that DNI. For its part, the so-called "mobile number validation," which consists of sending a four-digit code or pin to the contractor's mobile terminal that the client must subsequently enter in the form accessed from Dineo's website, only certifies that the person intending to contract with Dineo has access to that mobile number, but says nothing about the identity of the contractor.

The phase of the loan contracting procedure referred to as "bank data validation," which consists of verifying whether the bank account "is real" and is effectively associated with a bank account, is also irrelevant from the perspective of compliance with the obligations imposed by data protection regulations, as it only ensures the successful completion of the loan, that is, that the amount lent will be directed to an open and active account, but contributes nothing regarding whether the holder of that account is precisely the person listed on the DNI used. Finally, the phase referred to as validation of the "credit card," consisting of charging one cent to it which is automatically refunded, is not recorded as having been carried out in the case at hand, as it does not appear in the appellant's computer records.

In short, none of the measures adopted by the appellant are intended to prove that the person requesting the microcredit matches the holder of the provided DNI. And indeed, the appealed judgment continues to explain that the evidence gathered in the administrative process revealed that, regarding the phone line provided when the credit was requested, neither the name, surname, nor NIF of the line holder matches the personal data of the complainant (holder of the DNI); and concerning the bank account recorded in Dineo's records, to which the amount of the microloan would have been transferred, the data of the account holder at the time of the credit contracting also do not match the personal data of the complainant. Not even the holder of the mobile phone and that of the bank account are the same person.

These observations by the first-instance Court regarding the insufficiency of the measures adopted in the online contracting procedure, and ultimately, regarding the lack of diligence in the actions by the appellant, have in no way been undermined in cassation, where the representation of Dineo Crédito, S.L. has reiterated the statements made in the first-instance process but has contributed nothing to refute the conclusions of the sentencing Court.

In conclusion, we share the opinion of the National Court regarding the insufficiency of the measures applied by the appellant in the procedure.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

14/31

hiring. To the considerations set forth in the contested ruling, which we share and adopt as our own, we will only add two observations:

First, the verification measures applied by the appellant seem entirely aimed at ensuring the successful completion of the loan; however, they completely disregard the objective of verifying the truthfulness and accuracy of the data, and, in particular, of confirming that the person applying for the credit is indeed who they claim to be. Thus, in any case where a third party improperly uses a stolen or lost ID to make a purchase or request credit online, the unauthorized processing of the personal data of the document's holder would always be consummated, even if the holder had previously reported the loss or theft of their ID to the authorities, as none of the measures outlined by the appellant appear minimally oriented to prevent or hinder such an outcome.

Second, the above does not mean that the contracting company bears the responsibility to prevent an unlawful or criminal act, such as the fraudulent use of an ID by someone who is not its holder.

However, it is required of the contracting company, as a necessary diligence to avoid being reproached for failing to comply with its obligations regarding the protection of personal data—both

concerning the requirement for the consent of the interested party and in relation to the principle of truthfulness and accuracy of the data—to implement control measures aimed at verifying that the person intending to contract is indeed who they claim to be, that is, that they match the holder of the provided ID.

Furthermore, in accordance with what we have stated, we also share the opinion of the Chamber of the National Court (legal basis five of the contested ruling) regarding the violation of the requirement for accuracy and truthfulness of the data (data quality principle as outlined in article 4.3 of the LOPD in relation to article 29 of the same Organic Law and article 38 of the Regulation approved by Royal Decree 1.720/2007, of December 21), due to the appellant having incorporated into its computer systems, and subsequently transferred to the Asnef solvency file, personal data of the complainant associated with a debt that was neither true, overdue, nor enforceable since the complainant had not contracted the microcredit.

And as occurs in the case analyzed by the aforementioned ruling, in this case, the respondent also did not diligently verify the truthfulness and accuracy of the data, and, in particular, that the person requesting the credit was indeed who they claimed to be.

Moreover, it is established in the proven facts that the company CGI, in a written statement dated 01/03/2023 and in relation to the sending of the payment request to the claimant, stated that “the letter dated 21/06/2020, a copy of which is attached, was generated with the information provided by the respondent ..., for its printing (File: RECINFENV20200620.PDF; Envelope: 1347) and subsequent provision to the postal distributor responsible for its sending to the address: ***ADDRESS.

Once the established process was carried out and from the provision at CORREOS, it is noted that there has been no incident and also no return of said letter up to the date,” that is to say, it is accepted that the letter reached its recipient when the Madrid City Council itself, through the Technical Unit of the Street Directory in a written statement dated 07/08/2023, indicated that “Currently, there is no C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

15/31

vial in the municipal street directory of the city of Madrid with the name Calle (...) and therefore neither the number 75 of this street.” Therefore, this is another element that should have been taken into account by the respondent when verifying the accuracy of the information provided at the time of contracting.

3. The respondent states that in light of the possibility that there may have been identity theft of the claimant and the consequent illegitimate processing of her data, they canceled her account by blocking her data.

In this way, in a letter dated 14/03/2023, the respondent confirmed that “only the use of a system created with the intent to defraud the Entity prevented it from detecting the forgery of the documentation submitted by the credit applicant, who, in this case, impersonated the identity of the current claimant, causing the events that led to the claim filed by her before this Agency and the initiation of the present proceedings.”

However, in their response dated 14/06/2022 to the request made by this management center, they indicated that the debt on the Visa Ikea card amounted to €690.25 and that on 29/06/2020 they sent the relevant information to the ASNEF file and that, the following day, 30/06/2020, the claimant's data was effectively registered in the ASNEF solvency file as it was included in the weekly files sent until 20/08/2020.

And that “In accordance with the procedure for communicating registrations and cancellations to credit information systems, the data was effectively canceled from the ASNEF file on August 11, 2021.”

That is to say, the claimant's data was included in the files commonly referred to as delinquent on 30/06/2020 and effectively canceled on 11/08/2021. Therefore, the claimant's data during the period in which it was contained in the aforementioned file continued to be processed illegitimately by the respondent until its effective cancellation, as there is no accredited legal basis for its processing, since the presumption of legality contemplated in Article 20.1 does not apply because the debt was neither

certain, nor due, nor enforceable as the contracting of the Ikea card with the claimant was not accredited.

4. Furthermore, it is noted in the proven facts that the respondent stated in a letter dated 31/12/2021, "CaixaBank Payments & Consumer, as soon as it became aware of an alleged fraud/forgery in the contracting, proceeded to delete/block the personal data of the interested party, also proceeding to immediately cancel her in the credit information systems."

However, in a subsequent letter dated 14/06/2022, they stated, "The previous statement was incorrect as the data of the affected and claimant, regarding the credit contract with the aforementioned Ikea Visa card, had been canceled from the credit information systems on August 11, 2021, as a consequence of the aforementioned sale and assignment of credits dated July 29, 2021."

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

16/31

Therefore, the respondent did not proceed to remove the data from the delinquent files nor to block the data because it was aware of the alleged impersonation of the claimant's identity and a presumed fraud in the contracting process. Rather, the removal from the files was motivated because the credit was subject to assignment through a sales contract formalized in Madrid, before the notary Mr. A.A.A., with the company Invest Capital Ltd., on the date 16/09/2021, a company that in turn included the data in the file.

Therefore, as previously indicated, the actions of the respondent constitute a violation of Article 6.1 of the GDPR, in relation to Article 20.1 of the LOPDGDD, infringing the principle of lawfulness in the processing of data which requires the existence of a legal basis that legitimizes it; an infringement that resulted in the claimant's data being included in credit information systems without the debt being certain, due, and enforceable, and without the respondent having demonstrated that it had carried out the legally established assessment, and consequently without it being established that its legitimate interests prevail over the interests, rights, and freedoms of the claimant, an infringement classified under Article 83.5.a) of the GDPR.

VI

In its allegations to the Proposal for Resolution, the respondent has expressed its disagreement with it, arguing that:

1. The non-existence of an infringement of Article 6.1 of the GDPR, since the alleged infringement originates from the deception exercised on the person of the seller by maliciously impersonating the identity of the claimant at the time of validating her identity as a physically present applicant in the commercial establishment.

Article 8.1 of the LOPSC establishes that the DNI (National Identity Document) "is the only document with sufficient value by itself for the accreditation, for all purposes, of the identity and personal data of its holder" and that the verification by the respondent's representative of the identity of the interested party at the time of the application-contracting of the card is considered lawful and necessary for contracting.

According to the dictionary of the Royal Spanish Academy (RAE), the term "identification" is defined as "the action and effect of identifying or being identified," and the term "identify" as "to recognize whether a person or thing is the same as that which is supposed or sought." The term "identity" (in its second meaning) is defined as "the set of traits unique to an individual or a collective that characterize them in relation to others."

In short, the obligation to "identify" that falls on the seller of the prescriber translates into "recognizing" whether the identity data, that is, the elements or traits that characterize the person intending to subscribe to the application-contract of the card (name, surname, identification document number, and nature of the document, and even their physical image) are those that appear in the "document" "accrediting the identity."

As indicated in point 2 of foundation V, in accordance with the Agreement signed between the respondent and IKEA, the seller having the applicant...

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
17/31

physically present in the commercial establishment proceeds to identify him through his identity document.

Well, it is surprising that the respondent claims that the necessary diligence was exercised since they have implemented identity verification measures based on the DNI in their hiring processes, resulting in the paradox that the seller, having the applicant in front of him and requiring the DNI to verify his identity through visual verification of the elements and traits that characterize the person he intended to contract, did not realize that it was not the same person. Therefore, it is not a case, as the respondent attempts to argue, of an insurmountable error, but rather a lack of negligence that could have been overcome if the necessary and appropriate measures had been adopted that would have led to the conclusion that the person who came to the commercial establishment was not the one he claimed to be and whose document he carried, which is also shocking in light of the facts established in the procedure: the signature did not match the one on the DNI, and yet the employee, as previously noted, proceeded to register the graphological image of the signature in the entity's systems, the entity's own assertion that a correct identification of the person was not made, which brings us to a behavior of serious negligence, easily surmountable if the appropriate protocols and precautions had been adopted, since neither the signatures matched, nor was the provided address valid, nor was the necessary documentation presented to prove that the bank account number provided corresponded to the contractor.

It is not that the individuals involved in the identification of potential clients have difficulties due to not being specialists in detecting such impersonations; the rational approach is to adopt the appropriate measures and necessary precautions to prevent such incidents from occurring.

The A.N. in its ruling of 01/10/2012 states that: "Applying the previous regulations to the case under review, it has been proven, and not disproven by contrary evidence, that a commercial distribution contract was signed by the acting entity, which included personal data of the complainant, specifically her name, surname, and DNI, but without corresponding to her, nor her supposed address, nor her supposed phone number, nor her email address.

A contract that lacks any signature and whose formalization has been denied by such complainant. It has also been proven that, once the invoice generated by the services derived from the aforementioned contract was unpaid, Avon Cosmetics included the name and DNI number of the aforementioned complainant in the Asnef delinquency file.

Ultimately, it is a matter of the acting entity initiating a commercial relationship with a third party without sufficient control or supervision as it was unable to detect that the person expressing their willingness to contract was not who they claimed to be. As derived from the aforementioned GDPR, AVON, as the data controller, and despite its extensive arguments in the complaint, has not been able to demonstrate that the complainant had given her consent to the processing of her personal data.

Had AVON taken the necessary precautions to ensure the identity of the contracting person, it would have been sufficient to verify some form of identifying documentation (even through telematic means), which would have avoided the

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
18/31

Violation of Article 6.1 of the GDPR attributed by the AEPD. Ultimately, by failing to act with the necessary diligence, the data of the affected party was processed without their consent, which constitutes a breach of such an essential principle of legality, given that none of the exceptional circumstances that would exempt the need for such consent are present in this case. From all of this, it follows that the described facts are sufficiently serious to be classified as a serious infringement of

Article 86.5 of the GDPR.

On the other hand, it is not possible to appreciate the invincible error that is persistently invoked in the complaint, since, in addition to the fact that it must be demonstrated (STS of June 23, 2014), ultimately, as already indicated, and without prejudice to the fraud committed, the truth is that there was not sufficient diligence on the part of Avon Cosmetics either at the time of including the complainant's data in its databases or at the time of notifying the same to the asset solvency and credit file.

Lastly, the claimed absence of responsibility for having been a victim of fraud cannot be taken into consideration, since although currently Article 28 of the LRJPAC only recognizes responsibility "by way of intent or fault," there is no doubt that the requirement of culpability in administrative offenses is more flexible than in criminal law, and thus, according to repeated jurisprudence, in the face of clearly unlawful behavior, it is not enough to invoke the absence of fault, but it must be proven that the required diligence has been employed (SSTS March 23, 2011, and October 21, 2014, among many others), diligence that, based on all that has been stated, cannot be appreciated in the conduct of Avon Cosmetics.

From all of this, it follows that the sanction imposed on the acting entity in such a contested resolution is lawful and proportionate, and therefore it must be confirmed.

On the other hand, regarding the unfavorable opinion of the AEPD on the proposed initiative to use facial recognition data at the time of customer registration, it should be noted that any processing of personal data must have a legal basis, taking into account the specific case and the possible interference with the right to data protection, and compliance with the principles set out in Article 5 of the GDPR, including the principles of legality and data minimization.

2. The violation of the doctrine of acts of one's own by archiving similar complaints in which there is identity of facts and subjects to those of the present procedure, including EXP2022022936.

However, the issue invoked by the respondent has nothing to do with the violation of the doctrine of acts of one's own and must be dismissed.

First, the aforementioned file was directed against KRUK ESPAÑA S.L. as a debt was claimed from the interested party, whose original creditor was the now-respondent (CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U.), with the claimant being the same person who filed the complaint that led to the present procedure for violation of Article 6.1 GDPR in relation to Article 20 of the LOPDGDD. C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

19/31

As noted in point 4 of the previous grounds, the defendant and the entity INVESTCAPITAL, LTD formalized a contract for the sale of a portfolio of credits in Madrid, before the notary Mr. A.A.A. on 16/09/2021, which included that of the claimant, sending this letter informing about the assignment of the credit right.

In turn, the entity KRUK, in its capacity as data processor, provided debt recovery services to InvestCapital, the data controller and current creditor.

As established in the proven facts, the claimant sent emails requesting to know if she was listed as a debtor in their systems and that she was not the holder of the mentioned debt, indicating that she had suffered identity theft regarding the contracting of the CaixaBank card, and therefore requested the deletion of her data.

On 09/03/2022, KRUK responded to the claimant confirming the amount of the debt. Regarding the request for data deletion, KRUK indicated that they could not comply since the new creditor (InvestCapital) was aware of the debt, but that, given that she had provided evidence of possible fraud by reporting identity theft to the police, KRUK informed her that they agreed to suspend the case until they had evidence of the identity theft that would allow them to definitively close the case.

Furthermore, the defendant forgets that the processing of the claimant's data carried out by InvestCapital, in its capacity as data controller, and KRUK, in its capacity as data processor, is the result of the acquisition of a debt package from the defendant (CAIXABANK PAYMENTS &

CONSUMER EFC, EP, S.A.U.) who relied on the appearance of veracity of the assigned credits, and since the processing carried out is as a bona fide acquirer, it cannot constitute a violation of Article 6.1 of the GDPR.

On the contrary, the defendant's actions are contrary to the principle of lawfulness enshrined in Article 6.1 of the GDPR; the processing begins with the fraudulent contracting of the Ikea credit card no.

***NUMBER.1, dated 13/01/2020, subscribed at the Ikea Iberica, S.A. establishment, located at

***ADDRESS.1, and is permanent over time with the subsequent inclusion of the claimant's data in the Asnef file for a debt that did not belong to her, from 30/06/2020 until 11/08/2021, the cancellation of which is a consequence of the aforementioned contract for the sale and assignment of credits dated 29/07/2021.

This manner of proceeding is contrary to Article 6.1 of the GDPR and is classified under Article 83.5.a) of the GDPR.

3. The defendant also alleges the absence of culpability in its actions and that no one can be condemned or sanctioned except for acts committed with intent or negligence. Objective liability is prohibited in our legal system. In the field of sanctioning Administrative Law, the principle of culpability prevails, such that the subjective or culpability element is an indispensable condition for

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

20/31

that gives rise to sanctioning responsibility. Article 28 of Law 40/2015, on the Legal Regime of the Public Sector (LRJSP) regulates the principle of culpability and states: "1. Only natural and legal persons may be sanctioned for acts constituting administrative infractions, as well as, when a law recognizes their capacity to act, the groups of affected individuals, unions, and entities without legal personality, and independent or autonomous assets, that are responsible for the same by way of intent or negligence."

In light of this provision, sanctioning responsibility can be demanded on the basis of intent or negligence, with mere non-observance of the duty of care being sufficient in the latter case.

The Constitutional Court, among others, in its ruling STC 76/1999, has declared that administrative sanctions share the same nature as criminal ones, being one of the manifestations of the State's *ius puniendi*, and that, as a requirement derived from the principles of legal certainty and legality enshrined in Articles 9.3 and 25.1 of the Spanish Constitution (CE), their existence is essential for imposing them.

Regarding the culpability of legal persons, it is worth citing STC 246/1991, December 19, 1991 (F.J. 2), according to which, concerning legal persons, the subjective element of culpability must necessarily be applied differently than it is for natural persons, and it adds that "This distinct construction of the imputability of the authorship of the infraction to the legal person arises from the very nature of the legal fiction to which these subjects respond. They lack the volitional element in the strict sense, but not the capacity to infringe the norms to which they are subject. The capacity for infringement and, therefore, direct reproachability derives from the legal good protected by the norm that is infringed and the necessity for that protection to be genuinely effective [...]"

In conclusion, the conduct of the respondent, manifested in the infringement of the principle of legality, in relation to Article 20 of the LOPDGDD, by including the personal data of the claimant in common credit information systems without a basis for legitimacy, since the claimant could not be the contracting party of the Ikea card, violates Article 6.1 of the GDPR, an action that falls under the sanctionable type of Article 83.5.a) of the GDPR.

4. Finally, the respondent alleges the violation of the principle of proportionality in the imposition of the sanction.

Article 83.1 of the GDPR states that "Each supervisory authority shall ensure that the imposition of administrative fines in accordance with this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 are, in each individual case, effective, proportionate, and dissuasive."

Fines, therefore, as deduced from the provision, must be effective, proportionate, and dissuasive for

achieving the intended purpose of the GDPR.

It is true that for this system to function with all its guarantees, it is necessary for several elements to be deployed in an integral and complete manner.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

21/31

application of rules foreign to the GDPR regarding the determination of fines in each of the Member States applying their national law, whether due to aggravating or mitigating circumstances not provided for in the GDPR - or in the LOPDGDD in the Spanish case as permitted by the GDPR itself - would undermine the effectiveness of the system, losing its meaning, its teleological purpose, the will of the legislator, resulting in fines imposed for different infringements ceasing to be effective, proportionate, and deterrent. In this way, it would also deprive the interested parties of the effective guarantee of their rights and freedoms, weakening the uniform application of the GDPR. The mechanisms for protecting the rights and freedoms of citizens would be diminished, which would be contrary to the spirit of the GDPR.

The GDPR is endowed with its own principle of proportionality that must be applied in its strict terms. Regarding the principle of proportionality of sanctions, the National Court has stated in numerous rulings that the principle of proportionality cannot be exempt from judicial review, as the margin of appreciation granted to the Administration in imposing sanctions within the legally established limits must be developed by weighing, in any case, the concurrent circumstances, in order to achieve the necessary and due proportion between the alleged facts and the responsibility required, given that any sanction must be determined in accordance with the severity of the infringement committed and according to a criterion of proportionality in relation to the circumstances of the fact. Thus, proportionality constitutes a normative principle that is imposed on the Administration and that reduces the scope of its sanctioning powers.

Well, in accordance with the circumstances present in this case, the present resolution does not violate the principle of proportionality in determining the imposed sanctions, resulting in a measured and proportionate response to the severity of the infringement committed, the importance of the facts, as well as the circumstances taken into account to grade the sanction, without any reasons being appreciated that further justify the reduction made, especially considering the amount to which such sanctions may rise in accordance with Article 83.5 of the GDPR, which provides for a fine of up to €20,000,000 for the infringement of Article 6.1 of the GDPR, or, in the case of a company, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount.

Well, the entity is a large company within its sector of activity; in the year 2021 (the last financial year presented), it had sales exceeding €750 million and a profit of more than €218 million.

VI

In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

“1. Each supervisory authority shall ensure that the imposition of administrative fines in accordance with this article for infringements of this Regulation...”

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

22/31

Regulation indicated in sections 4, 5, and 6 shall be effective, proportionate, and deterrent in each individual case.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure for those contemplated in Article 58, section 2, letters a) to h) and j). In deciding the imposition of an administrative fine and its amount in each individual case, the

following shall be duly taken into account:

- a) the nature, severity, and duration of the infringement, taking into account the nature, scope, or purpose of the data processing operation in question as well as the number of affected individuals and the level of damage and harm suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the data controller or processor to mitigate the damage and harm suffered by the affected individuals;
- d) the degree of responsibility of the data controller or processor, taking into account the technical or organizational measures they have applied pursuant to Articles 25 and 32;
- e) any previous infringement committed by the data controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the data controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, section 2, have previously been ordered against the data controller or processor in relation to the same matter, compliance with such measures;
- j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and
- k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial benefits obtained or losses avoided, directly or indirectly, through the infringement.

In relation to letter k) of Article 83.2 of the GDPR, the LOPDGDD, in its Article 76, "Sanctions and corrective measures," establishes that:

"2. According to the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continued nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected individual may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

23/31

- g) To appoint, when not mandatory, a data protection officer.
- h) The voluntary submission by the data controller or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.

- In accordance with the transcribed provisions, for the purpose of determining the amount of the sanction to be imposed in the present case for the infringement classified in Article 83.5.a) and Article 6.1 of the GDPR (inclusion of debt in delinquent files), for which the respondent is held responsible, the following factors are initially considered:

The aggravating circumstances are:

The nature and severity of the infringement; the facts revealed affect a basic principle related to the processing of personal data, such as legitimacy, which the regulation penalizes with the utmost severity; the level of harm suffered by the claimant that affects their economic solvency due to being denied a loan as a result of their personal data appearing in common credit information systems at the request of the respondent in relation to a debt arising from an Ikea credit card amounting to €690.25 linked to the respondent, which was registered on 30/06/2020 and remained until 11/08/2021, when it

was removed by the respondent, following the assignment of the debt to the company Invest Capital Ltd (Article 83.2.a) of the GDPR).

The activity of the allegedly infringing entity is linked to the processing of personal data of both clients and third parties. In the activity of the respondent entity, the processing of personal data is essential, so given the volume of business of the same, the significance of the conduct subject to this claim is undeniable (Article 76.2.b) of the LOPDGDD in relation to Article 83.2.k).

The intentionality or negligence in the infringement, as the respondent included the data in delinquent files without the debt meeting the requirements of Article 20.1 of the LOPDGDD and without carrying out the necessary assessment. Also connected with the degree of diligence that the data controller is obliged to exercise in compliance with the obligations imposed by data protection regulations, the SAN of 17/10/2007 can be cited. Although it was issued before the entry into force of the GDPR, its ruling is perfectly extrapolable to the case we are analyzing. The ruling, after referring to the fact that entities whose activities involve continuous processing of data from clients and third parties must observe an adequate level of diligence, specified that "(...). the Supreme Court has understood that there is negligence whenever a legal duty of care is neglected, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be insisted on the rigor and exquisite care to comply with the legal provisions in this regard" (Article 83.2.b) of the GDPR).

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
24/31

The entity under investigation is a large company within its sector of activity and in the year 2021 (the last financial year presented) had sales of €752,310,000 and a net profit of €218,701,000 according to Axesor data (Article 83.2.k of the GDPR).

VII

The corrective powers that the GDPR attributes to the AEPD as the supervisory authority are outlined in Article 58.2, subsections a) to j).

Since the infringement has been confirmed, it is appropriate to impose on the responsible party the adoption of adequate measures to align its actions with the regulations mentioned in this act, in accordance with the provisions established in the aforementioned Article 58.2 d) of the GDPR, which states that each supervisory authority may "d) order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specified manner and within a specified timeframe."

In this case, the respondent is required to demonstrate, within six months from the notification of this resolution:

- The adoption of adequate measures to prevent future incidents similar to those that have led to the initiation of this sanctioning procedure, avoiding incidents such as the one indicated when processing personal data in credit information systems, without any legitimacy as contemplated in Article 6.1 of the GDPR.

It is warned that failure to comply with the possible order to adopt measures imposed by this body in the sanctioning resolution may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in Articles 83.5 and 83.6, which may lead to the initiation of further administrative sanctioning procedures.

III

The appellant in their appeal states their disagreement with what is indicated in the contested Resolution regarding the violation of Article 6.1 of the GDPR and has made the following allegations: Firstly, the respondent insists that the processing of the personal data of the debtor, both in the

assignment and in the processing of these by the assignee of the credit (InvestCapital Ltd), finds its legal basis in Article 6.1 GDPR and that when the assignment was made, they had no knowledge of any possible fraudulent use of the claimant's data, only becoming aware of the identity theft after the mentioned sale, and that for this reason there is no culpability.

However, such a claim cannot be accepted; the entity being claimed is the data controller, who decides on the processing of the personal data of the data subjects, the purposes and means of such processing, and applies the technical and organizational measures that ensure the security of personal data in connection with such processing; furthermore, it must ensure that the processing complies with...

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
25/31

the principles enshrined in Article 5 of the GDPR and, as is the case here, the principle of lawfulness. Well, the respondent has not demonstrated the mechanism or protocol that verifies the identity of the credit applicant, and the appellant is reminded that they have not disproved any of the issues raised in the Resolution regarding the manner of verifying identity and the reason why the necessary documentation for carrying out the contract is not available.

The entity responsible for the credit contracting and the processing of personal data of customers requesting financing is the respondent. In the procedure established for formalizing a credit contract to obtain the Ikea card, the Ikea employee/seller uses an application installed on a digital tablet that is connected to the respondent's computer systems; in this way, the data obtained is sent immediately to the respondent's computer systems for verification, analysis, and processing by said company, with Ikea not retaining any documentation regarding this nor any personal data in compliance with the signed agreement.

Well, the signature on the ID card and the one on the submitted contract do not match; furthermore, the respondent has a series of socioeconomic data that it is not recorded were provided during the contracting; as stated in the report of actions, "The respondent has not provided documentation that verifies the previous socioeconomic information recorded in its systems." Among that documentation is the account number where the payments were debited; according to the FAQs (Frequently Asked Questions) regarding financing:

What requirements are there to apply for my Card?

You only need to present:

- An identification document such as the ID card or passport
- An original bank receipt with your name and account number for the direct debit.
- Original proof of income:
 - Last payslip
 - Self-employed, managers, and administrators: last income tax return or quarter
 - Pensioners: pension revaluation sheet

If you are a CaixaBank customer, you only need your ID/NIE and your credit or debit card to process your application.

However, the documentation that the applicant must provide is neither listed nor available to the respondent, that is, it was not submitted since it should not be forgotten that the claimant was not the account holder as stated in the proven facts.

The Ikea seller, having the applicant physically present in the commercial establishment, must proceed to identify the customer through their identity document.

Subsequently, having the customer in front of them, they take a photograph of their identity document with the digital tablet and request personal data.

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es

26/31

additional, socioeconomic data (employment situation, monthly income, payments, position, profession, company, etc.) and enter the information into the system. Finally, the application has a signing process through the digitizing tablet, and the obtained data is immediately sent to the computer systems of the defendant for verification, analysis, and processing before said company.

Well, as the claimant states both in the complaint before the AEPD and in her report to the Command of the Civil Guard in Pinto (Madrid), which expands upon the one made in Puente de Vallecas before the National Police Station, she was never at the aforementioned shopping center, and therefore could never have signed the Ikea card contract nor provided the data contained therein; so much so that the mobile number, email address, home address, bank account number, company, and signature that appear in the said contract do not belong to her.

From the above, the negligent action of the defendant is evident, as they did not carry out the necessary verifications nor check that the documentation required for the contract had been sent by the IKEA establishment.

Regarding the account number provided, ING BANK NV BRANCH IN SPAIN in a letter dated 23/07/2023 has indicated that the mentioned account was contracted by telephone by a person who is not the claimant on 06/09/2018.

And regarding the signature affixed to the contract, it does not correspond to the claimant's signature.

Therefore, the mechanism to verify the identity of the credit applicant has not been established. How is it possible that, having the card applicant in front of them, the subscriber verified her identity without matching not only the person who intended to contract but also none of the documents that were necessary to carry out the contracting? Except for the serious negligence in the actions that would have been overcome had the mechanism or protocol been followed, which would have concluded that the person who went to the commercial establishment was not who she claimed to be and that the document she carried was not hers, and, moreover, proceeded to register the graphological image of the signature in the entity's systems; the entity itself has indicated that a proper identification of the person was not carried out, which shows a complete absence of diligence.

It is not only a matter of proving that the contract existed; the responsible party must be in a position to prove that the contract was made by the person who claims to be who they are.

- The appellant also alleges that the inclusion of the claimant's data in the common credit information systems was due to the lack of payment of the debt corresponding to the Ikea card credit contract and that the payment requests sent to the claimant are on record as a prior step to the aforementioned inclusion.

C/ Jorge Juan, 6
www.aepd.es
28001 – Madrid
sedeagpd.gob.es
27/31

It is necessary to reiterate that the debt referred to by the appellant originated from a contract that the claimant had not signed, as evidenced in the proceedings, therefore the debt linked to the aforementioned Ikea credit card could not be valid, due, or enforceable as it did not correspond to the claimant. Furthermore, regarding the debt demands sent to the claimant, it is stated in the proven facts that have not been disproven by the appellant, that the company CGI, through a letter dated 01/03/2023 sent to the claimant, indicated that "the letter dated 21/06/2020, a copy of which is attached, was generated with the information provided by the defendant ..., for its printing (File:(...); Envelope: XXXX) and subsequent delivery to the postal distributor responsible for its dispatch to the address:

***ADDRESS.2

And that after the established process for its dispatch and since it was made available at CORREOS,

there had been no reported incidents nor return of said letter; it was accepted and acknowledged that the letter had reached its recipient when the City Council of Madrid, through the Technical Unit of the Street Directory in a letter dated 07/08/2023, established that "Currently there is no street in the municipal street directory of the city of Madrid with the name Street (...) and therefore neither the number 75 of this street." How is it possible to accept that the demand letter reached its recipient if the shipping address was nonexistent?

The appellant processed the claimant's data without any legitimacy as the guarantees provided for in Article 20 of the LOPDGDD were not respected, given that the debt was not valid, due, or enforceable, a debt that did not correspond to the claimant as it stemmed from fraudulent contracting.

Therefore, he included the claimant's data in credit information systems without having demonstrated due diligence in the contracting, making him responsible for the inaccuracy of the data, having included in the file data of a debt that did not correspond to the claimant. Furthermore, he communicated the claimant's data when selling a portfolio of credits while the debt was nonexistent.

- The claimant also alleges a violation of the principle of non bis in idem; he points out that the AEPD has already ruled on these facts in Exp.202202936, whose Resolution issued on 14/06/2022 agreed to archive the proceedings.

However, the aforementioned argument cannot be accepted either; in Exp.202202936, some facts were analyzed that were revealed by the claimant in February 2022 in a complaint directed against KRUK.

In the aforementioned file, the claimant stated that "The company KRUK ESPAÑA SL has accessed my personal data, such as address, phone number, and email without my having given any consent for this company to process my data. They are claiming a debt from CaixaBank Payment&Consumer; which has already been reported for identity theft over 6 months ago, as a result of which this company withdrew the debt. In the false contract of the credit card requested in my name, none of my real data appears, only the name and ID number. Therefore, this company, KRUK ESPAÑA SL, must have accessed my data."

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

28/31

illegally accessed in some way since I did not give any consent for them to access. As a result, KRUK ESPAÑA SL is claiming a debt from me that no longer exists with phone calls and harassment towards me and my family." KRUK provided debt recovery services to InvestCapital, acting as the data processor. The claimed debt, whose original creditor was the appellant, stemmed from the fraudulent contracting of the credit card with IKEA. It should not be forgotten that on 29/07/2021, InvestCapital, Ltd., acquired the credit rights of a debt portfolio from the appellant, with InvestCapital, Ltd., becoming the creditor.

On 3 and 8/02/2022, the interested party sent two emails to KRUK, in the first of which she requested to know if she was listed as a debtor in their systems, and in the second, she indicated that she was not the holder of that debt, that it was all the result of identity theft regarding the contracting of the card with the now appellant, requesting the deletion of her data, and also informing them that she had reported this situation to the police and the AEPD. None of these reports were directed against KRUK or InvestCapital.

KRUK responded to the claimant confirming the amount of the debt and informing her of the assignment of the debt, along with a copy of the original credit card contract signed with the appellant and the movements of the card. Regarding the request for data deletion, KRUK indicated that for the moment, the data could not be deleted since the creditor (InvestCapital) was aware of the debt, but given that she had provided indications of possible fraud by reporting identity theft to the police, KRUK informed her that they agreed to temporarily suspend the file until obtaining evidence of the identity theft that would allow for the definitive closure of the file.

Therefore, the resolution of the archive only examined the actions and legitimacy of KRUK regarding the processing of the claimant's data, but in no case did the aforementioned file analyze or question the actions of the appellant.

We previously indicated that on 29/07/2021, InvestCapital, Ltd., acquired the credit rights of a debt portfolio from the appellant, with InvestCapital, Ltd., becoming the creditor by sending letters to the debtors informing them about the assignment of the credit rights.

The appellant responded to the transfer of the claimant's complaint on 13/11/2023, indicating in a letter dated 31/12/2021 that "as soon as it became aware of the present fraud in the contracting, it proceeded to delete/block the personal data of the affected party, and also proceeded to deregister her data from the common credit information systems."

However, in a subsequent letter dated 14/06/2022, it stated, "The previous statement was erroneous as the data of the affected party and claimant, regarding the aforementioned credit contract with the Ikea Visa card, had been deregistered from the credit information systems on August 11, 2021, as 29/31

as a consequence of the aforementioned sales contract and assignment of credits dated July 29, 2021."

Therefore, as stated in the contested Resolution, the respondent did not proceed to remove the data from the delinquent files nor to block the data because it was aware of the alleged impersonation of the claimant's identity and a presumed fraud in the contracting process, but rather the removal from the files was motivated because the credit was subject to assignment through a sales contract formalized in Madrid, with the company InvestCapital Ltd., on September 16, 2021.

InvestCapital, as the creditor, never registered the interested party in any credit information system; such responsibility lies solely with the appellant, who was the one that reported the inclusion of the claimant's personal data in the ASNEF and BADEXCUG files, due to an unlawful debt as it does not meet any of the requirements of Article 20.1 of the LOPDGDD.

The processing of the data carried out by InvestCapital, Ltd., as the data controller, and by KRUK ESPAÑA S.L., in its capacity as data processor, is the result of the acquisition of the debt package, supposedly unpaid credits originating from the appellant, and who, trusting in the appearance of veracity of the assigned credits, carried out data processing as a bona fide acquirer, which cannot constitute an infringement of Article 6.1 of the GDPR.

Such behavior cannot be attributed to the appellant, whose conduct is contrary to the principle of lawfulness enshrined in Article 6.1 of the GDPR; the processing begins with the fraudulent contracting of the Ikea credit card no. ***NUMBER.1 and persists with the subsequent inclusion of the claimant's data in the Asnef file for a debt that did not belong to her, from June 30, 2020, to August 11, 2021, with the removal occurring as a consequence of the aforementioned credit assignment contract dated July 29, 2021.

Therefore, as previously indicated, the actions of the respondent constitute a violation of Article 6.1 of the GDPR, in relation to Article 20.1 of the LOPDGDD, infringing the principle of lawfulness in the processing of data which requires the existence of a legal basis that legitimizes it; an infringement that resulted in the claimant's data being included in the credit information systems without the debt being certain, due, and enforceable, and without the respondent having demonstrated that it had carried out the legally established balancing, and consequently without it being shown that its legitimate interests prevail over the interests, rights, and freedoms of the claimant, an infringement classified under Article 83.5.a) of the GDPR.

- Finally, the appellant insists on the absence of responsibility and culpability in its actions and that no one can be condemned or sanctioned except for acts committed with intent or negligence.

It was already pointed out in the contested resolution to the now appellant that objective liability is prohibited in our legal system. In the field of sanctioning Administrative Law, the principle of culpability prevails, so that

C/ Jorge Juan, 6

www.aepd.es

The subjective or culpability element is an indispensable condition for the emergence of sanctioning responsibility. Article 28 of Law 40/2015, on the Legal Regime of the Public Sector (LRJSP), regulates the principle of culpability and states: “1. Only individuals and legal entities may be sanctioned for acts constituting administrative infractions, as well as, when a law recognizes their capacity to act, the groups of affected parties, unions, and entities without legal personality, and independent or autonomous estates, that are found responsible for them by way of intent or negligence.”

In light of this provision, sanctioning responsibility can be demanded on the basis of intent or negligence, with mere non-observance of the duty of care being sufficient in the latter case.

The Constitutional Court, among others, in its ruling STC 76/1999, has declared that administrative sanctions share the same nature as criminal ones, being one of the manifestations of the State's *ius puniendi*, and that, as a requirement derived from the principles of legal certainty and legality enshrined in Articles 9.3 and 25.1 of the Constitution, their existence is essential for imposing them. Regarding the culpability of legal entities, it is pertinent to cite STC 246/1991, December 19, 1991 (F.J. 2), which states that, concerning legal entities, the subjective element of negligence must necessarily be applied differently than it is for individuals and adds that “This distinct construction of the attribution of authorship of the infraction to the legal entity arises from the very nature of the legal fiction to which these subjects respond. They lack the volitional element in the strict sense, but not the capacity to infringe the norms to which they are subject. The capacity to infringe and, therefore, direct reproachability derives from the legal good protected by the norm that is infringed and the necessity for such protection to be genuinely effective [...]”

In conclusion, the conduct of the respondent, as manifested in the infringement of the principle of legality, in relation to Article 20 of the LOPDGDD, violates Article 6.1 of the GDPR, an action that falls under the sanctionable type of Article 83.5.a) of the GDPR.

IV

Consequently, in the present appeal, the appellant has not provided new facts or legal arguments that would allow for a reconsideration of the validity of the contested resolution.

Having reviewed the cited provisions and others of general application,

The Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DISMISS the appeal for reconsideration filed by CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U. against the resolution of this Spanish Agency for Data Protection issued on 13/11/2023, in file EXP202105363.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

31/31

SECOND: NOTIFY this resolution to CAIXABANK PAYMENTS & CONSUMER EFC, EP, S.A.U.

THIRD: Warn the sanctioned party that the imposed sanction must be enforced once this resolution is notified, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, within the voluntary payment period indicated in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by depositing it into the restricted account No. ES00 0000 0000 0000 0000 0000, opened in the name of the Spanish Agency for Data Protection at CAIXABANK, S.A. or, failing that, collection will proceed in the executive period.

If the date of notification falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (LPACAP), the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within a period of two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Finally, it is noted that in accordance with the provisions of Article 90.3 a) LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file a contentious-administrative appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned LPACAP. They must also provide the Agency with documentation that proves the effective filing of the contentious-administrative appeal. If the Agency is not aware of the filing of the contentious-administrative appeal within two months from the day following the notification of this resolution, it will consider the provisional suspension to be concluded.

Mar España Martí

Director of the Spanish Agency for Data Protection

C/ Jorge Juan, 6

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28001 – Madrid

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